



FIFTH GENERATION
ADVISERS

Company Review

Resource valuation, risk and investment thesis

COMPANY

Paladin Energy Ltd (OTCQX: PALAF | ASX: PDN | TSX: PDN)

ANALYSIS DATE

October 9, 2026

METHOD

Don Durrett 10-factor method and sum-of-the-parts (USD)

PREPARED BY

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Read the Conflicts of Interest and Important Disclosures sections before relying on this report.

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Executive Summary

Paladin is a uranium producer and developer with a 75% interest in the producing Langer Heinrich Mine (LHM) in Namibia (Tier 2) and 100% of the Patterson Lake South (PLS) project in Saskatchewan, Canada (Tier 1) [1][3]. The Durrett 10-factor score is 6.6 / 10. Our sum of the parts (1.3x AISC, stage factors, 5% discount rate, basic shares) gives \$4.04, \$6.73 and \$15.72 per share at U3O8 of \$85, \$100 and \$150, against a price near \$6.09 [5]. The \$100 case is well below the Investing.com analyst average of about \$9.48 [6].

Main drags: PLS needs about US\$1.23B of capital against US\$265M of cash, with FID not targeted until end-2027 [1][3][12]; LHM full-cost margins are thin at \$85 uranium (June-quarter cost of production US\$51.6/lb, excluding stockpile, stripping, royalties, G&A and sustaining capital) [1][2][13]; and the CNSC has not set a PLS hearing date [11]. Recommendation: Hold with downside bias. Data Quality Score 6.35 / 10.

\$6.09	~\$2.7B	6.6 / 10	+11%
PRICE (USD)	MARKET CAP	DURRETT SCORE	SOTP VS. PRICE (BASE)

Recommendation: Hold (downside bias). The \$100 case shows modest upside, the \$85 case is 34% below the price, and PLS funding and licensing are unresolved.

Market cap = \$6.09 x 449.3M shares outstanding [5]; performance rights and options not retrieved, so the share count is basic (prov.). AUD converted at 0.6962 USD/AUD [9].

Project List

PROJECT	LOCATION	OW NE RS HIP	STATUS
Langer Heinrich Mine (open pit, IX)	Namibia	75 %	Producing; ramp-up completed FY2026; 4.82 Mlb produced [1]
Patterson Lake South (Triple R)	Saskatchewan, Canada	100 %	EIS approved Feb 2026; CNSC found the application sufficient (Jun 11, 2026 letter), hearing date not set; FID targeted end-2027; first production 2031 [3][10][11][12]
Michelin and other exploration	Canada, Australia	100 %	Exploration; Michelin tenements partly written off in FY2026; not valued [1]

Table 1. CNOL holds the other 25% of Langer Heinrich [1].

Project Locations

Map omitted in markdown. Langer Heinrich (Namibia) and PLS (southwestern Athabasca Basin); positions approximate.

Reserves, Resources and Plausible Value

PROJECT	P&P	M&I total	M&I ex-reserves	INFERRED	PLAUSIBLE	ATTRIBUTABLE
Langer Heinrich (75%)	77.5	91.35	13.85	n/a (prov.)	78.8	59.1
PLS / Triple R (100%)	93.7	118.8	25.1	10.9	103.9	103.9
Total attributable						163.0

Table 2. Units: Mlb U3O8. LHM reserves and resources are from a secondary summary [4], not re-verified; inferred not retrieved (prov.). PLS per 2023 feasibility study [3] (more than 3 years old).

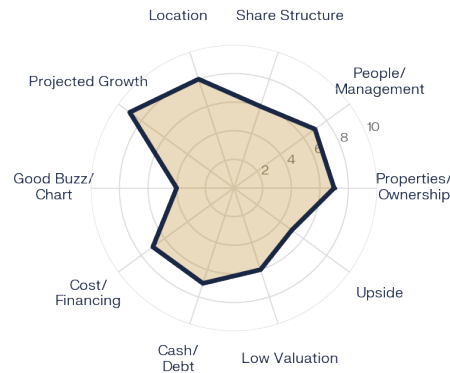
Plausible = P&P x 0.9 + (M&I minus reserves) x 0.65 + Inferred x 0.3. LHM: 77.5x0.9 + 13.85x0.65 = 78.8 Mlb (x75% = 59.1). PLS: 93.7x0.9 + 25.1x0.65 + 10.9x0.3 = 103.9 Mlb.

10-Factor Analysis

FACTOR	SCORE	RATING	RATIONALE
Properties / Ownership	7	Good	Tier 2 assets: producing LHM (75%) plus high-grade PLS (100%) [1][3]
People / Management	7	Good	FY2026 output at upper end of guidance, cost at lower end [1]; 2025 flooding delayed ramp-up
Share Structure	6	Fair	449.3M basic shares [5]; shares up about 50% since Dec 2024 [13]
Location	8	Strong	Canada Tier 1; Namibia Tier 2; 25% Chinese partner at LHM [1]
Projected Growth	9	Excellent	4.8 to 5.1-5.6 Mlb/yr at LHM [2], plus about 9 Mlb/yr at PLS from 2031 [3]
Good Buzz / Chart	4	Weak	\$6.09 after a roughly 5% drop on Oct 7 [5]; Goldman upgraded only to Neutral [6]
Cost / Financing	7	Good	LHM cost of production US\$44-48/lb guided [2]; PLS AISC US\$15.2/lb [3]; PLS capex unfunded
Cash / Debt	7	Good	Net cash US\$233M, US\$70M RCF undrawn [1]; PLS capex US\$1.23B [3]
Low Valuation Estimate	6	Fair	EV about \$2.5B, about \$15 per attributable plausible lb
Upside Potential	5	Fair	SOTP at \$150 is 2.6x price; PLS start 2031
Total	66 / 10 =		6.6

Table 3. Equal-weighted under the Durrett 2.2 rubric; People, Share Structure, Buzz and Valuation are judgment calls.

Radar Chart



Valuation: Sum of the Parts

Margin per lb = U3O8 price minus 1.3x AISC. Attributable plausible pounds are spread evenly over each project's life, discounted at 5% (mid-year) and multiplied by the Durrett 2.2 stage factor. PLS capex is deducted at present value.

PROJECT	ATTRIB. Mlb	START (yrs)	LIFE (yrs)	AISC \$/lb	PADDED AISC	STAGE
Langer Heinrich (75%)	59.1	0	14	62.00	80.60	1.00
PLS	103.9	4.7	11	15.20	19.76	0.60

Table 4. LHM AISC \$62 = FY2027 cost-of-production midpoint US\$46 [2] + capex US\$32M / 5.35 Mlb (\$6.0) + stockpile and stripping (\$8, assumed) + royalty (\$2.5, assumed 3%); cost of production excludes these items [1]; June-quarter figure US\$51.6/lb [13]. PLS AISC US\$15.2/lb, 10-year life (11 used to carry plausible pounds), first production 2031 [3]; stage 0.60; start 4.7 yrs assumes FID end-2027 plus a three-year build [3][12].

USD MILLIONS	\$85	\$100	\$150
Langer Heinrich NAV (75%, stage-weighted)	188	830	2,970
PLS NAV (stage-weighted)	2,502	3,078	4,996
Project NAV	2,690	3,908	7,966
Less: PLS pre-production capex (PV)	(1,076)	(1,076)	(1,076)
Less: debt facility	(32)	(32)	(32)
Less: uranium product loan (0.40 Mlb at scenario price)	(34)	(40)	(60)
Plus: cash and short-term investments	265	265	265
Equity value	1,814	3,025	7,063
Per share (449.3M basic shares)	\$4.04	\$6.73	\$15.72
vs. current price (\$6.09)	-34%	+11%	+158%

Table 5. Capex US\$1,226M over three years at 1.7, 2.7 and 3.7 years out (FID end-2027) [3][12]. Cash US\$151.9M plus short-term investments US\$113.0M; debt US\$32.0M; undrawn US\$70M RCF not counted [1]. Product loan 400,000 lb at Jun 30, 2026 [8].

Sensitivities

Illustrative scenarios; not a forecast or price target.

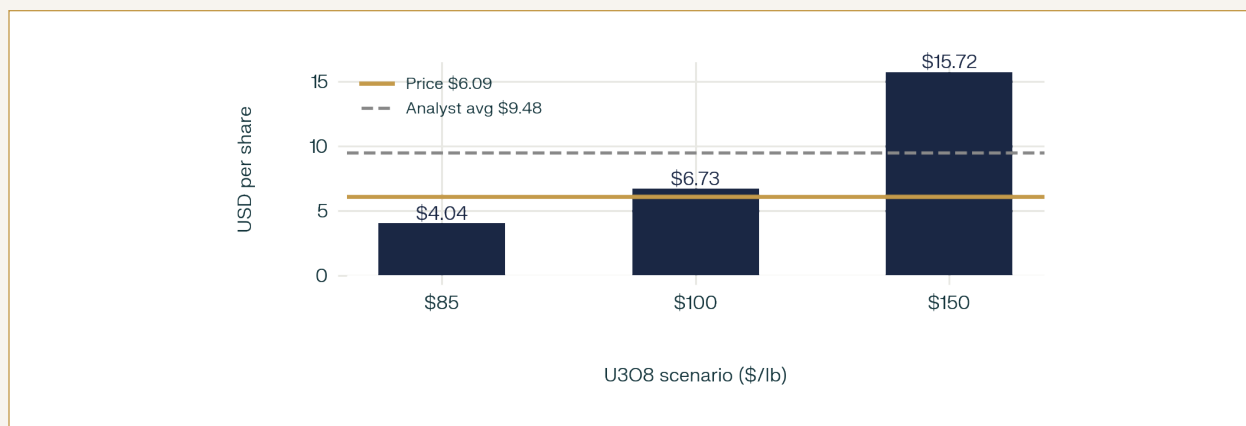
CASE (\$100 URANIUM)	PER SHARE	VS. BASE	RATIONALE
Base case	\$6.73	n/a	Table 5 at \$100
PLS NAV 50% lower	\$3.31	-51%	Licence, funding or cost shortfall; analyst assumption
PLS capex 25% higher (US\$1.53B)	\$6.13	-9%	Overrun risk; analyst assumption
PLS first production one year later	\$6.41	-5%	Schedule slip; analyst assumption
\$400M equity raise at \$6.09 (65.7M shares)	\$6.65	-1%	Funding illustration; analyst assumption
LHM at steady-state stage (1.10)	\$6.92	+3%	Ramp-up complete; analyst assumption
Corporate G&A of US\$34M/yr over 14 years	\$5.97	-11%	FY2026 G&A US\$34.1M [14]; assumed to continue

Table 6. All cases are analyst assumptions.

Analyst Cross-Check

SOURCE	RATING	TARGET (USD)
Investing.com (ASX consensus, Oct 6, 2026)	Mixed	Avg A\$13.62 (about \$9.48); 56% above price
Goldman Sachs (Oct 8, 2026)	Neutral (upgraded from Sell)	Target not retrieved

Table 7. Aggregator data are secondary.



Input Assumptions Disclosure

INPUT	VALUE	BASIS
U3O8 price	\$85 / \$100 / \$150, flat	Client scenarios; not a forecast
Discount rate / cost pad	5% / 1.3x	Client instruction
Durrett constants	0.9 / 0.65 / 0.30	Project override

INPUT	VALUE	BASIS
PLS capex	US\$1,226M	Engineering review [3]; timing assumed
LHM capex	US\$29-35M a year	FY2027 guidance [2]
FX	0.6962 USD/AUD	Oct 7, 2026 [9]; targets only
Start dates	LHM 0; PLS 4.7 yrs	FID end-2027 [12] plus 3-year build; assumption
Cash / debt	\$265M / \$32M + product loan	[1][8]
Shares	449.3M basic	[5]; rights and options not retrieved

Table 8. Several inputs rely on secondary sources or assumptions.

Capital Raise Outlook (18 months)

Probability of a meaningful equity raise (about \$100M or more): about 50%; forced raise: about 10%. Cash of US\$265M and an undrawn US\$70M facility compare with US\$1.23B of PLS capex, and FID is not targeted until end-2027 [1][3][12]. A \$400M raise at \$6.09 adds about 65.7M shares (14.6% of basic).

This section is analyst judgment, not a sourced forecast.

Capital Raise History

DATE	EVENT	SIZE (USD)	ISSUE PRICE (USD)	NEW SHARES (M)	DILUTION %	SOURCE
Sep 16, 2025	Fully underwritten equity raising for PLS: A\$300M, including a C\$30M Canadian bought deal at C\$6.66	about \$198M (approx.)	not found	not found	not found	[7]
Dec 20, 2024	Share issue (consistent with the Fission acquisition scrip); 398.9M shares on issue afterwards	not found	n/a	99.8	33.4%	[13]
Total	Dec 2024 - Oct 2026: shares on issue 299.1M to 449.4M			150.3	50.2% cumulative	

Table 9. Dilution % = new shares / shares before the event (99.8M / 299.1M for Dec 2024). The Sep 2025 raise converts A\$300M at about 0.66 USD/AUD (approx.); its share count and price were not verified. The total includes the Sep 2025 raise and rights vesting.

Red Flags and Investor Concerns

Red Flag: PLS funding gap. US\$1.23B of capital vs US\$265M of cash; FID not until end-2027; no financing committed [1][3][12].

Red Flag: Licensing timeline. The CNSC found the PLS application sufficient but has not set a hearing date [11][12].

Red Flag: Langer Heinrich margins. Cost of production US\$51.6/lb in the June quarter, guided US\$44-48/lb for FY2027, excluding stockpile, stripping, royalties, G&A and sustaining capital; a full AISC near \$62 leaves little margin at \$85 uranium [1][2][13].

Red Flag: Partner and jurisdiction. 25% of Langer Heinrich belongs to a Chinese state-owned partner; Namibia is Tier 2 [1].

Red Flag: Good Buzz (4), Upside (5). Price near \$6.09 after a roughly 5% drop on Oct 7; Goldman only moved to Neutral on Oct 8 [5][6].

Observations and Next Steps

Watch the PLS CNSC hearing date and financing, Q1 FY2027 results (late October) and product loan repayment. Verify LHM reserves, resources and inferred pounds, performance rights and options, CNOL shareholder loans, inventory, the royalty rate and stockpile and stripping costs. No Paladin record was found in the project RAG JSON.

Data Quality Audit

Data Quality Score 6.35 / 10 (accuracy 6.0, source reliability 6.5, internal consistency 7.0; weighted 0.5 / 0.3 / 0.2). Verified: FY2026 production, cost of production and exclusions, cash, debt, G&A [1][13][14]; PLS reserves, AISC, capex [3]; CNSC sufficiency [11]; Dec 2024 share count [13]. Provisional: LHM reserves and resources [4]; LHM AISC build, life, royalty, stockpile and stripping; Sep 2025 raise terms [7]; share count (no rights or options); analyst data [6]. Internal self-assessment, not an independent audit.

Sources and Footnotes

#	SOURCE
[1]	Paladin FY2026 Financial Results Overview (Aug 25, 2026): production 4.82 Mlb, cost of production US\$43.3/lb and exclusions, cash US\$265.0M, debt US\$32.0M, net cash US\$233.0M, RCF US\$70M undrawn.
[2]	Paladin LHM FY2027 Guidance (Jul 22, 2026), ASX.
[3]	Paladin PLS presentation (Aug 28, 2025) and Engineering Review (Aug 27, 2025); feasibility summary.
[4]	The Extractor Magazine (Jul 22, 2026): LHM 77.5 Mlb reserves, 91.35 Mlb resources (secondary).
[5]	MarketWatch, Zacks, MarketBeat, Morningstar (Oct 6-8, 2026).
[6]	Investing.com consensus (Oct 6, 2026); Goldman Sachs upgrade (Oct 8, 2026).
[7]	Paladin A\$300M equity raising (Sep 16, 2025), ASX (capital raise source).
[8]	Paladin June 2026 quarterly report: product loans.
[9]	Trading Economics (Oct 7, 2026): AUD/USD 0.6962.
[10]	World Nuclear News (Feb 23, 2026): EIS approval.
[11]	CNSC PLS page (Aug 10, 2026): sufficiency, Jun 11, 2026 letter.
[12]	Northern Miner (Nov 1, 2024): FID targeted by end-2027.

#	SOURCE
[13]	Paladin Dec 20, 2024 securities notice (99,796,395 shares issued; 398,909,417 on issue); June 2026 quarterly presentation.
[14]	Paladin FY2026 MD&A (Aug 26, 2026): G&A US\$34.1M.

All sources accessed Oct 9, 2026.

Conflicts of Interest, Holdings and Compensation

ITEM	DISCLOSURE
Compensation for this analysis	Fifth Generation Advisers receives no compensation of any kind, to or from Paladin Energy Ltd, its officers, directors, affiliates, underwriters or financing agents, or any other third party, in connection with this analysis.
Independence of the analysis	Prepared from public information, without review or input from Paladin Energy Ltd. No analysis is free of bias; model assumptions, scores and judgment calls are ours and are identified.
Positions	As of Oct 9, 2026, positions of the firm, principals, employees and advisory clients in Paladin Energy Ltd are not material: fewer than 100,000 shares in total across all of them.
Other relationships	No investment-banking, advisory, consulting, finder or other relationship with Paladin Energy Ltd exists, and none existed in the past 12 months.
General and impersonal	General and impersonal; not tailored to any recipient and not personalized advice.
Third-party method	The 10-factor framework follows Don Durrett's published method; Fifth Generation Advisers is not affiliated with, endorsed by or compensated by Mr. Durrett.

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Scenarios are not forecasts. Per-share values, upside percentages, sensitivities and capital-raise probabilities are hypothetical outputs of the stated assumptions, not price targets. Metal prices are held flat; the discount rate and cost pad are analyst choices.

Mineral resource figures. Reserves and resources are estimates; inferred resources are speculative. "Plausible" pounds are our own weighting ($P\&P \times 0.9 + (M\&I \text{ minus reserves}) \times 0.65 + \text{Inferred} \times 0.3$) and are not a category recognized under SEC S-K 1300 or NI 43-101.

Principal risks. Commodity price; financing and dilution; permitting, regulatory and political; operating and execution; liquidity and volatility; cross-listing and currency; estimation risk. Loss of all principal is possible. Past performance does not guarantee future results.

Report status and key limitations.

- **General and impersonal.** Not tailored to any person and not personalized advice.
- **Rating.** Hold (downside bias) is the firm's general opinion over the next 12 months as of the analysis date; not a recommendation to buy, hold or sell.
- **Scenarios, not forecasts.** Values are illustrative outputs at flat metal prices of \$85, \$100 and \$150; not price targets.

- **Model limits.** PLS capex is deducted at present value; the Langer Heinrich AISC, life, royalty and stockpile costs are assumptions; CNOL shareholder loans, corporate overhead, exploration assets and inventory are valued at zero; start dates are assumed; the share count is basic.
- **Compensation and conflicts.** No paid compensation received; see the Conflicts section.

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